The global outlook is very uncertain. This outlook reflects information available at the time of its preparation. As more information becomes available, these projections will be revised. They are presented now to assist policymakers to design alternative policy responses.

SOUTH SUDAN

Table 1	2019
Population, million	13.0
GDP, current US$ billion	4.7
GDP per capita, current US$	364
Life expectancy at birth, years[a]	57.4

Source: WDI, Macro Poverty Outlook, and official data.
Notes:
(a) Most recent WDI value (2017).

The economy recovered with a growth rate estimated at 3.2 percent during FY2018/19 from a contraction of -3.5 percent during FY2017/18. These developments reflect activity in the oil sector which rebounded strongly. A Revitalized Transitional Government of National Unity was formed in February 2020, but subnational conflict persists. Nearly 7 million people are experiencing acute food insecurity and more than 1.3 million children are malnourished. Poverty is forecast to have risen to a little over 88 percent in 2019.

Recent developments

The economy is estimated to have recovered with a growth rate of 3.2 percent in FY 2018/19. Growth in the oil sector was estimated at 10.7 percent which reflects improved production as the country moved to rehabilitate oilfields that had been damaged by war. Consequently, net oil exports increased from about 128,297 bpd in FY2018 to 133,294 bpd in FY 2019. The gap between the official and parallel market exchange rates remains high and increased from 85 percent in June 2019 to more than 100 percent in November 2019. Following exchange rate depreciation on the parallel market and food price pressures resulting from floods that affected harvests and market access, inflation picked up strongly in the first half of FY2019/20 and averaged 108 percent in the six months during July – December 2019.

The fiscal deficit narrowed to 2.2 percent of GDP in FY2018/19 from 3.3 percent in FY2017/18. However, government has been accumulating arrears owed to civil service salaries, which were in arrears of more than four months by end of December 2019. At the same time only 35 percent of oil revenues is estimated to have reached the budget during FY2018/19 with the rest earmarked for settling payment to Sudan, Nilepet's share, and oil advances. The current account deficit, excluding grants, rose to 5.7 percent of GDP during FY2018/19 from 3.7 percent in FY2017/18.

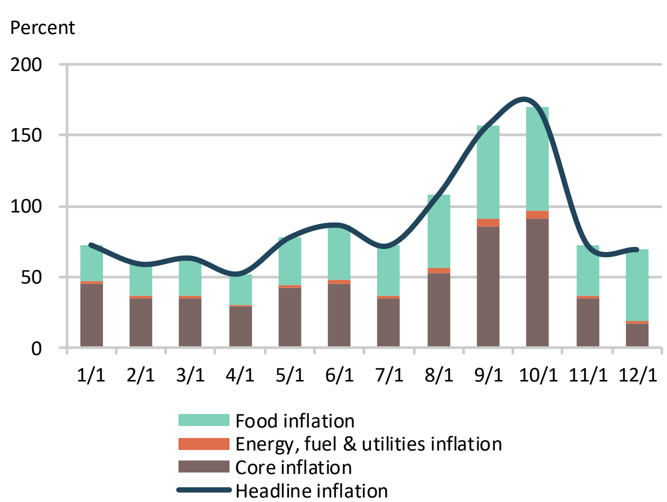
The FY 2018/19 DSA indicates that South Sudan remains in debt distress and the external position is weak with depleted reserves. Total public debt during FY 2018/19 was estimated at 34.2 percent of GDP of which external debt is 30.2 percent. Accumulation of arrears, low capacity to service debt, and low foreign exchange reserves indicate unsustainable debt dynamics.

The national poverty rate at the US$1.90 2011 PPP poverty line is estimated to have risen a little over 88 percent in 2019, from 82 percent in 2016. The urban poverty rate stands at over 70 percent, up from 66 percent in 2015.

Outlook

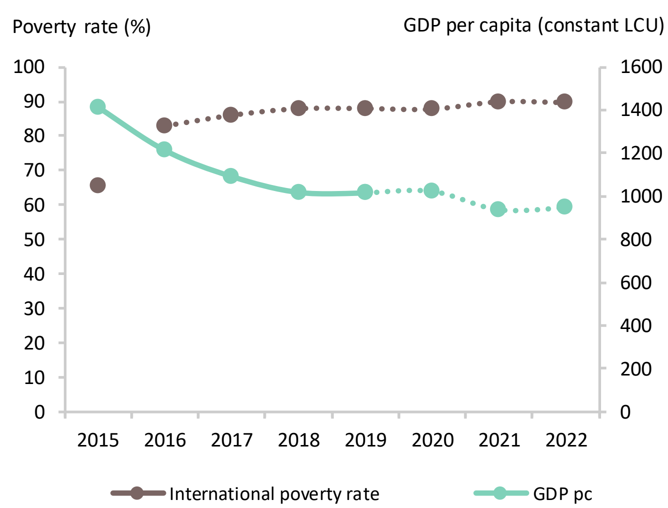
Economic growth projections for FY2019/20 have been further downgraded to 4.3 percent, reflecting lower oil prices and a weak global economy on account of the COVID-19 pandemic. Private consumption is expected to remain weak, contracting by 0.8 percent in FY2019/20. Border closures and social distancing are expected to contribute to this contraction. Lower oil prices could be partly offset by higher oil production (178,833 bpd) with exports increasing by 14.5 percent in FY2019/20 but decline sharply by -16.1 percent in FY2020/21. The budget deficit, excluding arrears, is projected to grow to 3.7 percent of GDP in FY2019/20 and to 7.4 percent in FY2020/21. The current account deficit is expected to reach 9.6 percent of GDP

FIGURE 1 South Sudan / Inflation developments



Source: National Bureau of Statistics.

FIGURE 2 South Sudan / Actual and projected poverty rates and real GDP per capita



Source: World Bank.
Notes: see Table 2.

The cut-off date for information in this MPO was April 02, 2020.

in FY2019/20 and to 19.5 percent in FY2020/21. Poverty levels are expected rise slightly, and to remain extremely high on the back of severe food insecurity, inflation and limited access to basic services.

Risks and challenges

The major risk to the outlook is the sustainability of peace and security in the country. The formation of a unity government on 22 February 2020, delayed twice amidst political deadlock, gives the country's leaders a chance to build upon a ceasefire between the warring factions that has largely held since September 2018. While these developments are encouraging, significant challenges remain and the new government will have to work in concert to unify the national army, resolve disputes over control of key cities and make peace with holdout rebel groups. A relapse to conflict would reverse the modest gains made in the economy and would exacerbate the macroeconomic and the humanitarian situation.

A sustained downturn in oil prices would have negative consequences for South Sudan's economy. While lower sulfur cap regulations for global maritime shipping fuels could push South Sudan oil into premium category, the COVID-19 pandemic is expected to contribute to lower oil demand and prices, which could decline by 14.9 percent during FY20 and 17.8 percent in FY21, resulting in significantly lower GDP growth rates in FY20 (4.3 percent) and FY21 (-5.3 percent). In addition, South Sudan's agricultural sector is at risk of desert locust infestation currently ravaging the Horn of Africa, threatening food security and livelihoods.

TABLE 2 South Sudan / Macro poverty outlook baseline scenario (annual percent change unless indicated otherwise)

	2017	2018	2019 e	2020f	2021f	2022 f
Real GDP growth, at constant market prices	-6.9	-3.5	3.2	4.3	-5.3	4.6
Private Consumption	-21.9	-17.8	-1.2	-0.8	-1.5	1.5
Government Consumption	3.0	4.0	19.4	-46.4	0.7	-12.9
Gross Fixed Capital Investment	3.0	4.0	-34.1	249.3	-0.7	17.6
Exports, Goods and Services	18.4	27.9	10.7	14.5	-16.1	11.3
Imports, Goods and Services	-10.0	3.2	5.1	3.2	3.5	4.3
Real GDP growth, at constant factor prices	-6.9	-3.5	3.2	4.3	-5.3	4.6
Agriculture	-16.0	-11.5	-2.5	1.5	1.7	2.0
Industry	-3.5	15.0	8.0	11.4	-12.2	9.2
Services	-7.2	-13.3	0.4	-1.2	0.3	1.2
Inflation (Consumer Price Index)	384.8	125.8	106.9	88.2	60.8	48.3
Current Account Balance (% of GDP)	-0.7	-3.7	-5.7	-9.6	-19.5	-7.6
Net Foreign Direct Investment (% of GDP)	-0.2	0.3	-0.6	-0.2	0.2	0.2
Fiscal Balance (% of GDP)	-0.3	-3.3	0.0	-3.7	-7.4	-8.1
Debt (% of GDP)	85.3	59.7	38.3	38.6	43.4	51.9
Primary Balance (% of GDP)	-0.2	-3.0	0.4	-3.6	-7.4	-8.0
International poverty rate ($1.9 in 2011 PPP)[a,b,c]	86.1	88.0	88.1	87.9	90.0	89.8
Lower middle-income poverty rate ($3.2 in 2011 PPP)[a,b,c]	96.7	97.4	97.4	97.3	98.1	98.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.
Notes: e = estimate, f = forecast.
(a) Calculations based on 2016-HFS.
(b) Projection using neutral distribution (2016) with pass-through = 0.87 based on GDP per capita in constant LCU.
(c) Actual data: 2016. Nowcast: 2017, 2018, 2019. Forecast are from 2020 to 2022.

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